



ROBERT H. SMITH
SCHOOL OF BUSINESS

The Business Climate in Maryland and the Impact of Federal Policy Changes on Maryland Businesses:

A Survey of Maryland Businesses 2025

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Goals of the Survey

We conducted this survey to assess the business climate in the state of Maryland. Our intention with this report is to create a public resource that can be used by policymakers, businesses, and the public to guide their decision-making.

The year 2025 was a challenging one for businesses. This survey gave Maryland businesses a chance to speak directly about their circumstances — how current economic and policy changes are affecting them, and how they rate Maryland as a place to do business.

We asked respondents to evaluate how their firms were doing in 2025 relative to the same period in 2024 and to share their expectations for the next six months. In addition to broad perceptions of performance, we collected detailed information on revenues, demand, employment, capital expenditures, costs, prices, and financing conditions.

The second goal of the survey was to assess the impact of federal policy changes on Maryland businesses. The federal government has undergone significant reductions in force, directly and indirectly affecting Maryland due to the state's large population of federal employees. Moreover, shifts in federal procurement and contracting policies have had tangible effects on local firms.

The U.S. is now operating under a new tariff regime. At the time of the survey, the average effective tariff rate stood just under 18%, up from roughly 2% in January 2025. Tariffs were especially high on imports from certain countries (e.g., 40% on Chinese goods) and key commodities (e.g., about 40% on steel and aluminum, and 25% on automobiles). We sought to understand how these changes have affected Maryland businesses — particularly their supply chains, sourcing strategies, and reliance on domestic versus foreign suppliers.

Finally, we aimed to measure overall business sentiment toward Maryland as a place to do business. Do firms view the state's business climate as favorable or unfavorable? What challenges do they perceive? What do they see as Maryland's key advantages? As a further indicator of sentiment, we asked whether businesses had considered relocating to another state.

Respondents were also invited to provide open-ended comments, many of which offered valuable insights that contextualize the survey's quantitative findings.

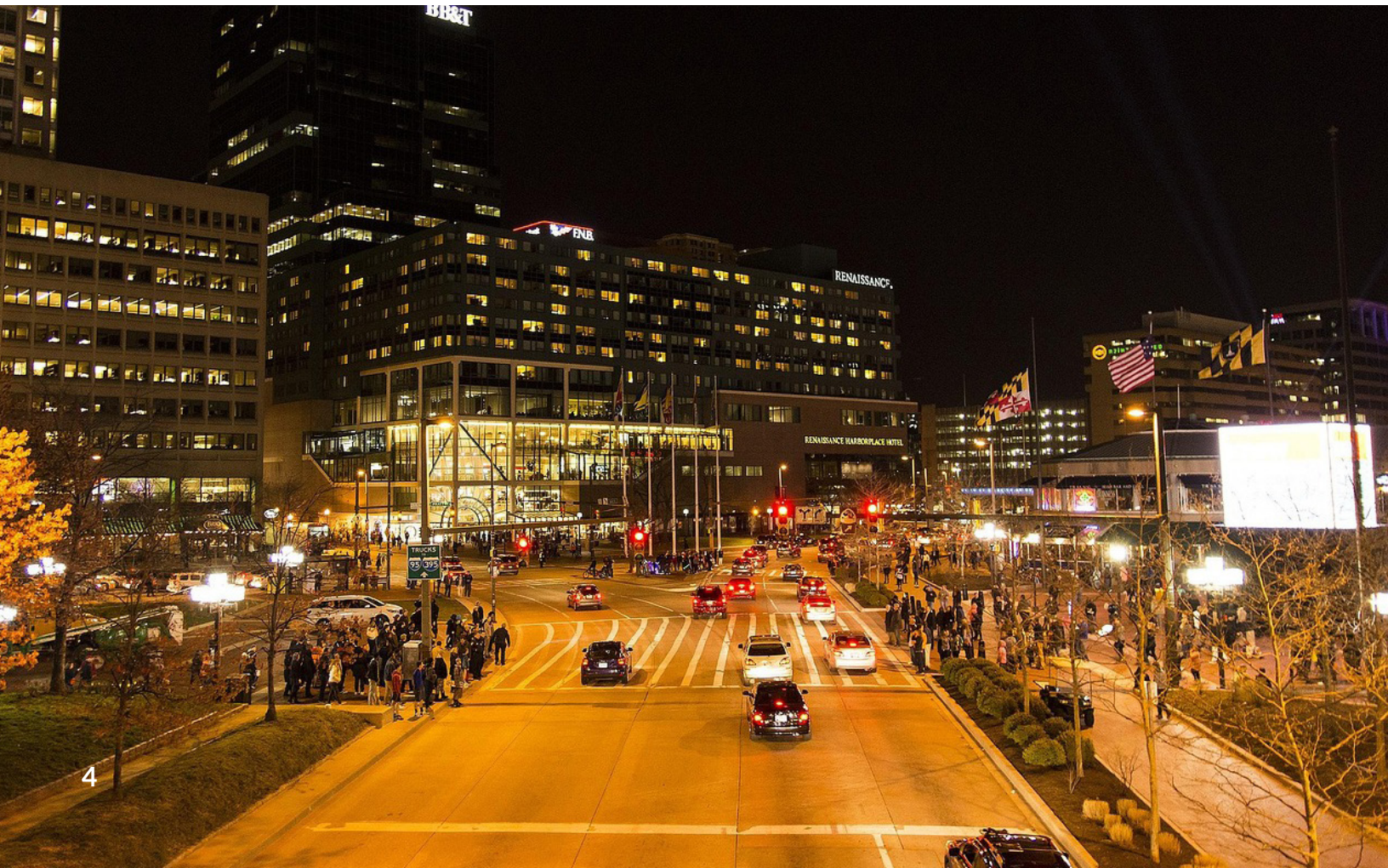
Summary of Key Results

1. Business conditions in 2025 have worsened compared with 2024, but firms are cautiously optimistic about the next six months.

- Revenues, demand, and employment were more likely to have declined than increased over the past year, but respondents expect these indicators to improve.
- Capital expenditures rose slightly in 2025 and are expected to continue growing.
- Rising costs were a major challenge for Maryland firms. Roughly 80% of respondents reported higher costs, and most expect this trend to persist. Cost pressures have led to higher prices, a pattern anticipated to persist.

2. Federal workforce reductions and contracting changes have had widespread negative effects.

- Many firms reported adverse impacts from federal Reductions in Force (RIFs) (45%) and from changes in procurement and contracting policies (36%).
- These effects were especially severe for firms that do substantial business with the federal government. Respondents cited delayed payments, administrative disruptions from staffing cuts, and the termination of programs supporting minority businesses and environmental initiatives.





3. Tariffs have negatively affected many Maryland businesses.

- A large share of companies reported that new tariffs increased the cost of imported inputs and reduced the reliability of supply chains. A smaller number of firms noted positive effects, such as reduced foreign competition.

4. Supply chain disruptions remain significant.

- Nearly one in four firms reported making changes to their supply chains. Adjustments included switching sourcing countries, shifting from international to domestic suppliers, and stockpiling key inputs to mitigate disruptions.

5. Maryland's business climate is widely viewed as being unfavorable.

- Almost 60% of businesses rated the state's overall business environment as unfavorable.
- Respondents cited skilled talent and proximity to the federal government as key strengths of the state, but identified high taxes, high operating costs, and housing affordability as major challenges to doing business in the state.

Overall, the 2025 survey paints a picture of a business community under pressure from rising costs and shifting federal and trade policies. Still, there is cautious optimism. Maryland has valuable assets such as its talent base and proximity to the federal government. However, structural challenges related to taxes, costs, and regulatory complexity continue to weigh on sentiment.



Profile of Respondents

Participation in the survey was solicited by U.S. mail and email invitations sent to businesses across the state. The survey contained 50 questions and was estimated to take 10–15 minutes to complete. No compensation was offered to participants. Data collection lasted approximately one month, beginning in the final week of September 2025. In total, 136 individuals accessed the survey. Some did not meet the eligibility criteria (being a worker or owner of a for-profit business), while others did not complete enough questions to be included. The final sample consists of 92 usable responses. Details of the sampling methodology are provided in Appendix 1.

Figures A1–A4 in Appendix 2 summarize respondents by sector, firm size, revenues, and ownership characteristics. The sample spans a wide range of sectors, with Tech firms having high representation. The chart identifies the “Other” category as the largest. Examination of the text responses indicates that consulting and construction/real estate firms constitute significant portions of this group. Nearly 80% of firms have fewer than 100 employees, indicating a predominance of small businesses in the sample. The revenue distribution is somewhat more balanced across size categories. Approximately 20% of firms are majority women-owned, and a similar share are minority-owned. The “None of the above” category includes firms that do not fall into any of the designated ownership classifications.

Most respondents’ firms are locally based: 89% are headquartered in Maryland, and 26% operate exclusively within the state.

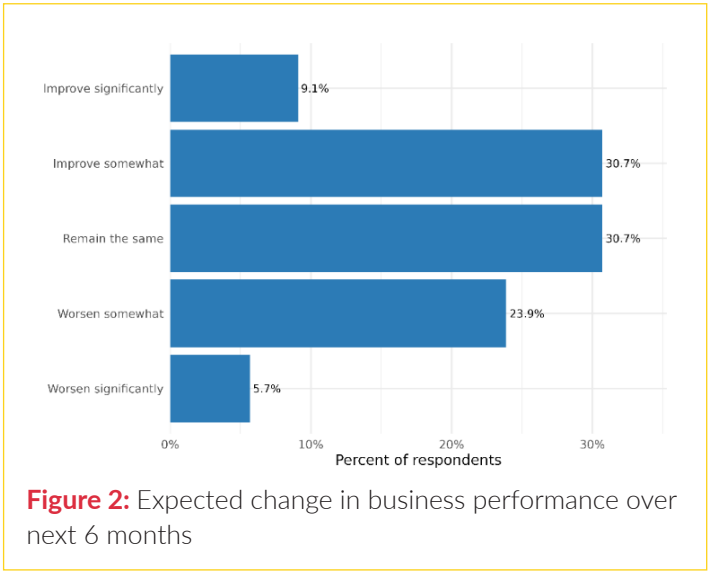
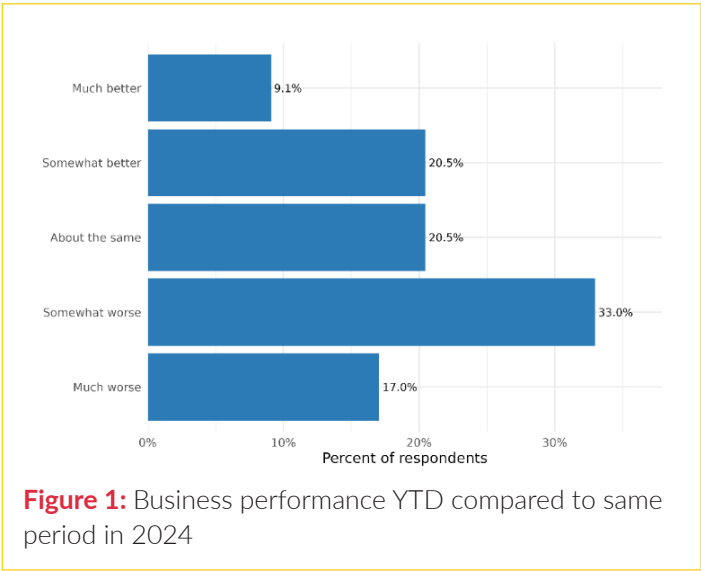
International exposure was measured through questions about the share of revenues derived from international sources and the share of inputs imported from abroad. As shown in Figures A5 and A6, 61.5% of firms report no international revenues, and 40.7% report no import of inputs. Only a small proportion of firms earn more than 10% of their revenues from international markets, although about one-third import more than 10% of their inputs.

Reliance on the federal government was assessed through the proportion of revenues derived from federal contracts. Only 16.7% of respondents reported no federal revenues, and 23.3% indicated less than 10%, underscoring the high degree of federal exposure among businesses in the sample (see Figure A7). For subsequent analyses, exposure is classified as *low* if federal contract revenues are less than 10% and *high* if 10% or greater.

Overall, the sample represents a diverse set of firms across sectors and ownership types but is weighted toward small, locally headquartered businesses with limited international activity and substantial exposure to federal contracting.

Performance in 2025 and Outlook for next Six Months

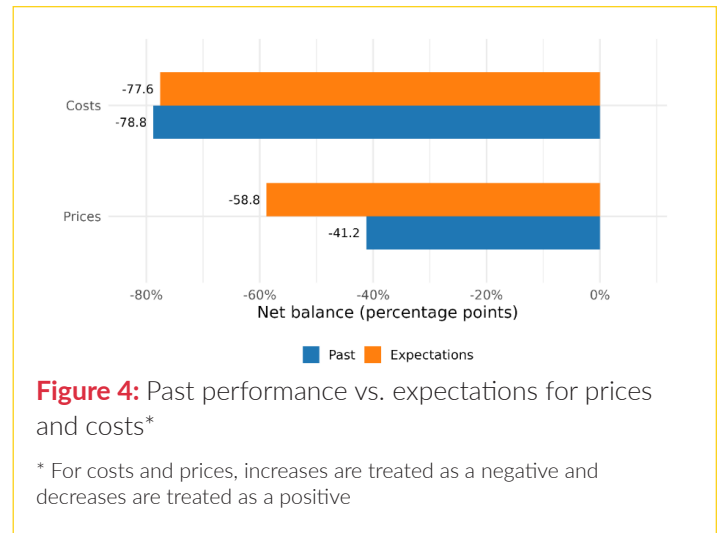
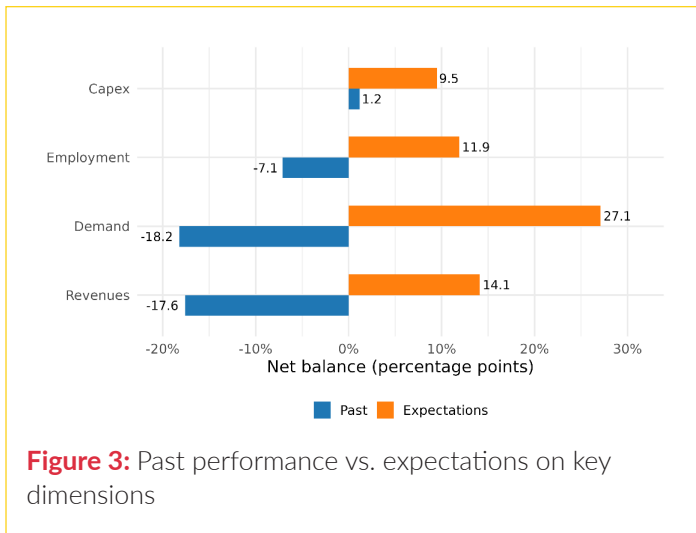
To assess business performance in 2025 relative to the same period in 2024, respondents were asked: “How would you describe this business’s performance so far in 2025, compared to the same period in 2024?” To gauge outlook, they were asked: “How do you expect this business’s performance to change over the next six months?” The responses are summarized in Figures 1 and 2.



Half of the respondents reported that their **year-to-date performance** was somewhat or much worse than in 2024, while 29.6% reported improvement. The difference between positive and negative responses – 29.6% minus 50% – yields a net balance of –20.4%. In contrast, **expectations for the next six months** are more optimistic, with a net balance of +10.2%. In short, business conditions in 2025 have weakened compared with 2024, but firms express cautious optimism about the near-term outlook.

To explore these patterns in more detail, the survey asked corresponding “past performance” and “expected change” questions across six dimensions: (1) revenues, (2) demand, (3) employment, (4) capital investment in equipment, software, or infrastructure (CapEx), (5) costs, and (6) prices. The results are summarized in terms of net balances for past performance (blue bars) and expectations (orange bars) (see Figures 3–4).

For **revenues, demand** and **employment** the net balance numbers are negative for past performance. This indicates that a greater percentage of respondents said that 2025 was somewhat or much worse than 2024 than said it was somewhat or much better. The net balance for expected change is positive in each case. More people believe that revenue, demand and hiring will increase than believe these will decrease. In the case of **CapEx**, both past performance and expectation net balance are positive.

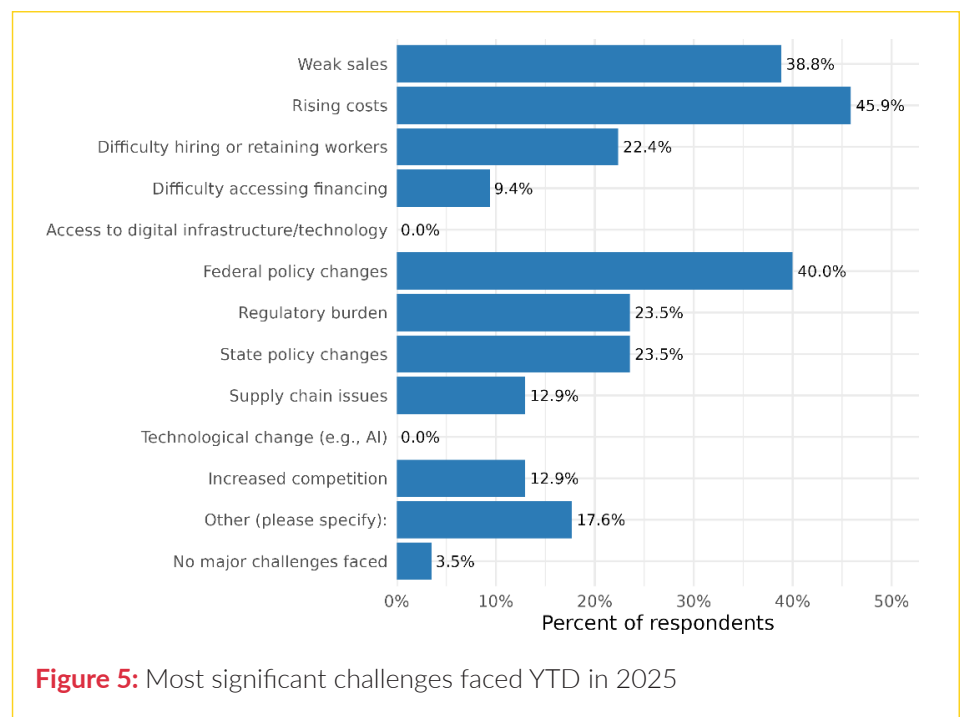


For **costs** and **prices**, decreases are treated as positive outcomes and increases as negative. In both cases, the net balances for past performance are negative, reflecting that more firms experienced rising than falling costs and prices. The outlook suggests that cost pressures are expected to persist, and the negative net balance for prices is even larger for expectations than for current conditions, indicating an anticipation of continued upward pressure on prices.

The **ease of obtaining financing** in 2025 was largely viewed to be about the same as in 2024. The expectation was that it would stay the same or be somewhat better over the next six months.

“Consumer buying is down ... very concerned about finances.”

“The Maryland economy now faces unprecedented challenges and struggle, compounded by electricity price surges and costs.”



Most Significant Challenges Faced in 2025

Respondents were asked about their most significant challenges faced in 2025 (Figure 5). The top choice was “Rising costs,” which was selected by more than 45% of respondents. Two other top choices were “Federal policy changes” and “Weak sales.”

In the “Other” category, some respondents entered the following: “Tariffs”, “DOGE”, “Uncertainty in Federal Policy”, and “Reduced funding for Federal Environmental Engineering.”

“We feel as if we are now working against our own federal government who is trying to kill the solar industry.”

“DOGE”

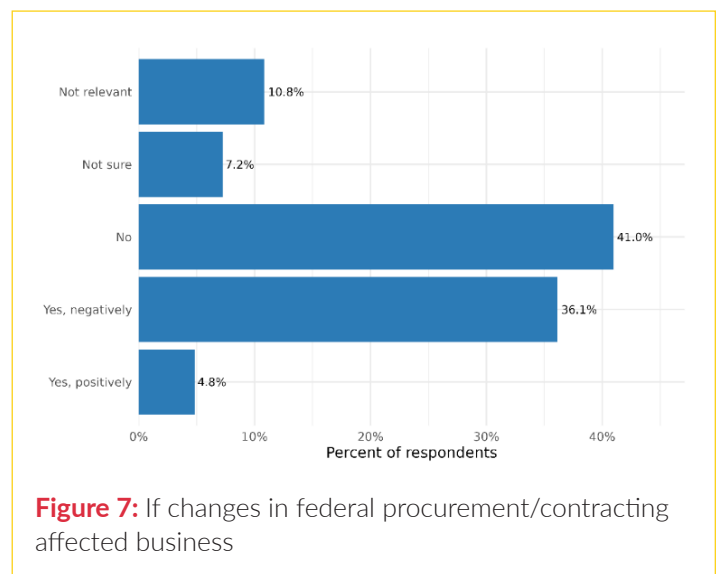
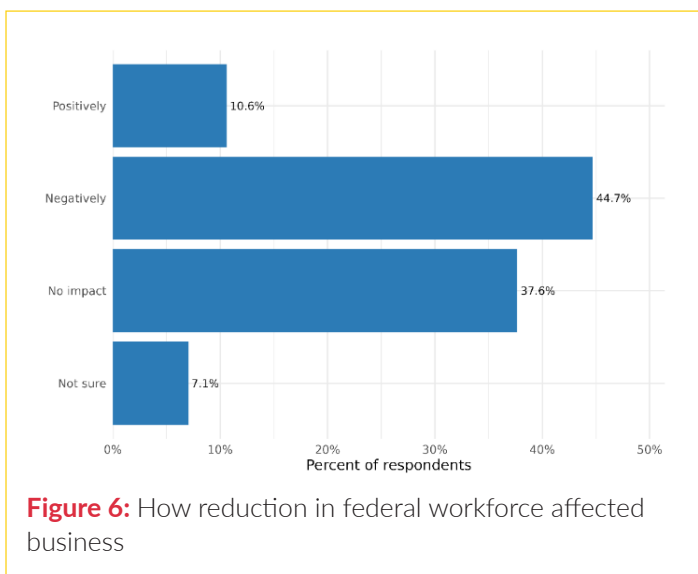
“Multiple families here at my organization have gone from two-income households to one and that has put stress on us”

“Federal buying activity has decreased significantly therefore weakening our sales.”



Federal Policy: Reductions in Force and Procurement Changes

A large share of Maryland firms – and of those in our sample – do business with the federal government. To understand how federal policy developments affected Maryland firms, respondents were asked two questions: “How has the recent reduction in the federal workforce affected your business?” and “Has your business been affected by changes in federal procurement or contracting policies in 2025?” The responses are summarized in Figures 6 and 7. Almost 45% of firms in our sample report being negatively affected by RIFs. Around 36% were negatively affected by changes in federal procurement and contracting policies.

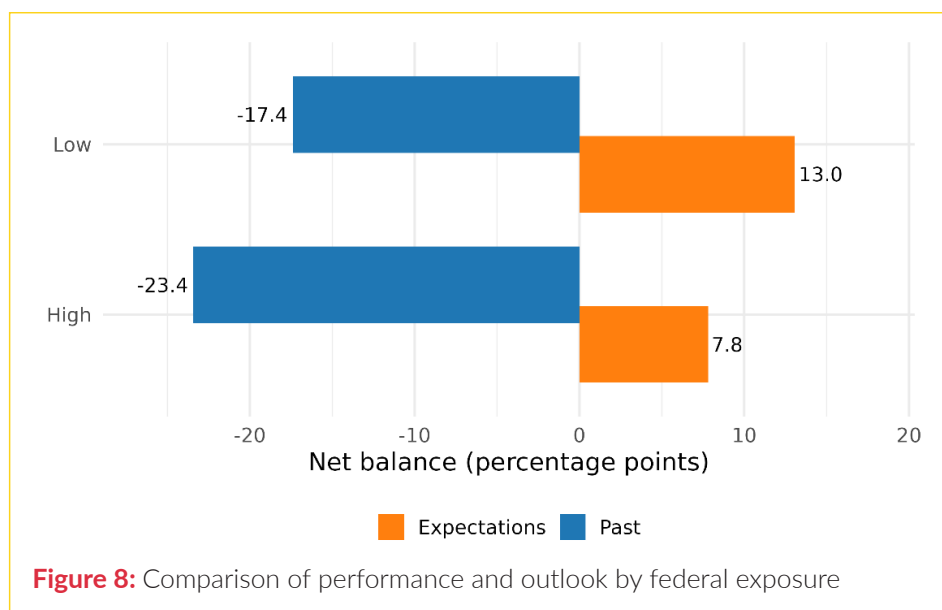


As defined earlier, federal exposure is classified as high if 10 percent or more of a firm’s revenues derive from federal contracts. Comparing firms with this measure reveals notable differences in performance (see Fig. 8). Firms with high federal exposure reported weaker year-to-date performance (a net balance of –23.4%) and positive but more subdued outlook for the near future. In short, 2025 appears to have been a challenging year for firms heavily dependent on federal contracts.

“Many of our government contacts are no longer there. We have also had projects cut and not renewed.”

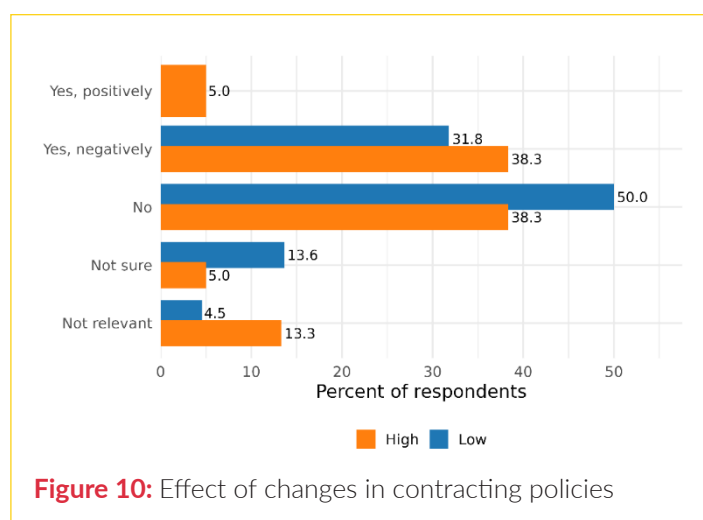
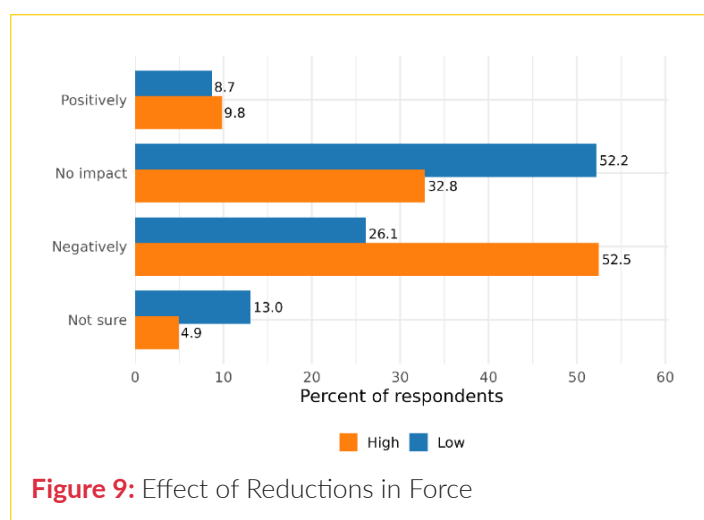
“We have been asked to reduce our prices to “keep our contract” -- which has an additional negative impact as our sales are down, and our costs have increased.”

“We worked a lot with USAID. They no longer exist”



We can split the responses to the questions in Figures 6 and 7 by federal exposure. The resulting graphs are shown in Figures 9 and 10. The responses reinforce the pattern observed earlier: firms with high federal exposure were more likely to report negative impacts from both workforce reductions and contracting changes. Yet the effects were not uniform. Roughly half of low-exposure firms reported **no impact** from either policy change, while among high-exposure firms, about half reported **negative effects** from the federal workforce reduction and 38 percent reported **negative effects** from procurement or contracting changes.

Interestingly, a small number of firms reported *positive* impacts, even among those with high federal exposure. While the reasons are not explicit in the data, it is plausible that certain sectors – such as defense or intelligence contracting – benefited from shifts in procurement priorities, even as others faced cutbacks. One respondent also noted that the reduction in federal employment had slightly eased labor-market pressures, suggesting that the broader impacts of recent federal policy changes were uneven and sector-specific.



Respondents were also invited to elaborate on the reasons behind their assessments. Several recurrent themes emerged from these open-ended responses:

- **Cancellation or postponement of federal contracts** and anticipated solicitations.
- **Operational disruptions and costly delays** at federal agencies resulting from reductions in force – for example, difficulty obtaining payments or approvals.
- **Shifts in administration priorities**, such as the discontinuation of programs supporting minority-owned businesses, environmental initiatives, or alternative energy projects.
- **Procurement policy changes perceived to favor large firms**, including the bundling of contracts that limit opportunities for small businesses.

A sample of illustrative comments is provided below. Most respondents emphasized the **negative impacts** of recent federal policy changes, while a smaller number offered **supportive or positive views**. A few examples include:

- *“Greater sense of urgency to accomplish the mission. More funding [is] available for doing the things that have an impact. More U.S. manufacturing.”*
- *“The reduction in federal employees has had a positive effect on our business by increasing the availability of former federal workers as hiring candidates – people we can now place on government contracts.”*

“Federal contracting has almost completely dried up for us. Option years have been canceled, or they have been significantly descoped, for most of our multi-year contracts.”

“Chaos in the halls of NIH has led to a near collapse in any hopes of receiving new grants/contracts.”

“Contract Officers are untrained, payments for services rendered are delayed putting financial strain on small businesses.”

“Opportunities are leaning towards big business and not small.”

“Contract bundling and trend to working with large businesses vs. small.”

“Opportunities are leaning towards big business and not small.”

“Reduced funding for Federal Environmental Engineering.”

“Changes in policy also resulted in contract terminations for environmental and alternative energy projects.”

“DOGE cancelled our contracts and fired people we’ve worked with for the past 21 years... awarding contracts to an 8a, small business or economically disadvantaged business has come to a halt.”

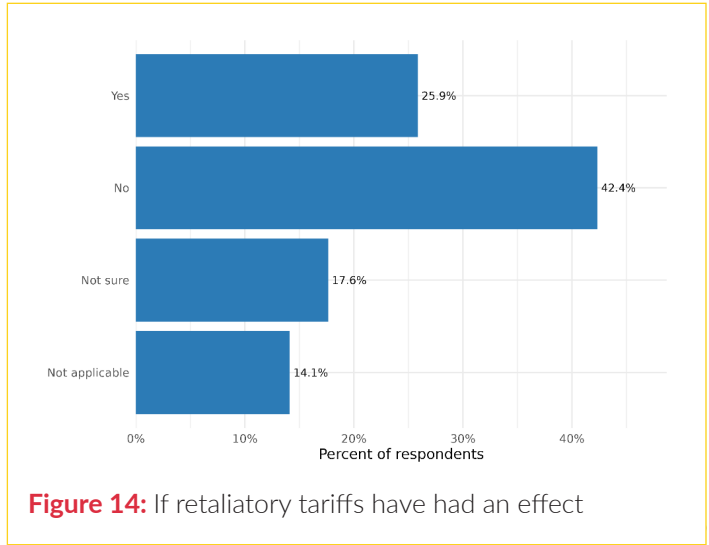
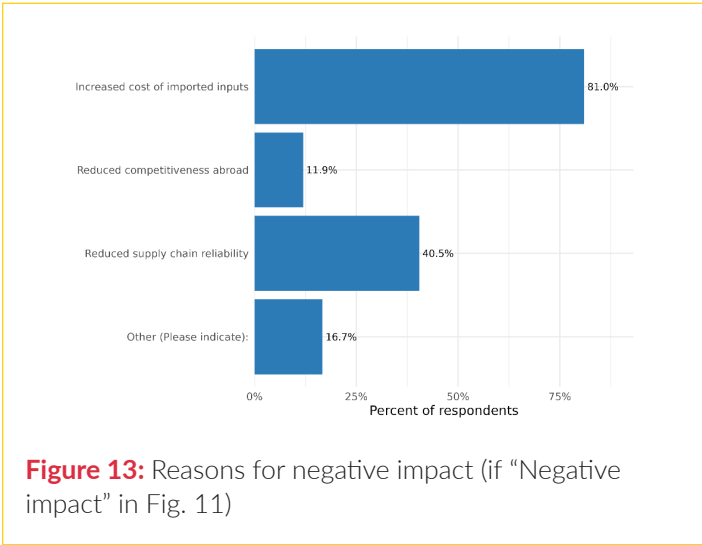
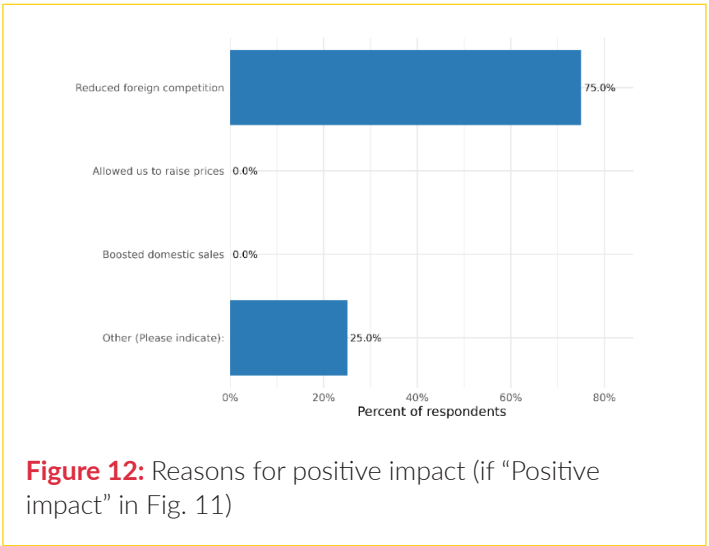
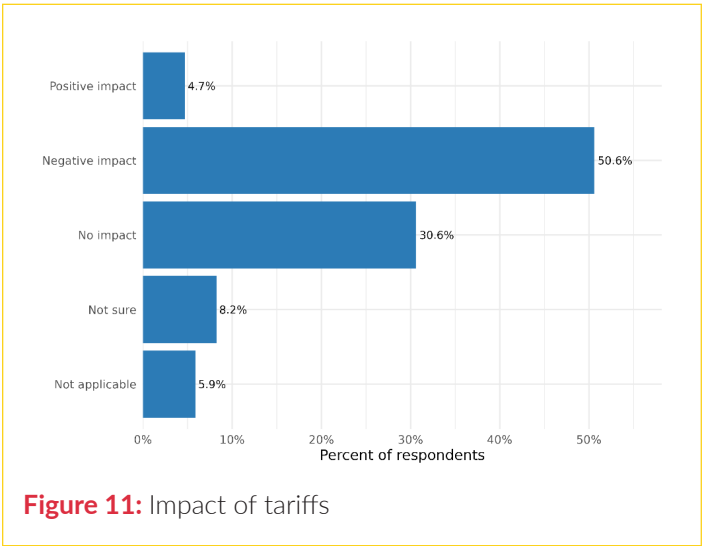
“The current administration has been removing protections for small businesses and minority owned businesses.”



Trade and Tariffs

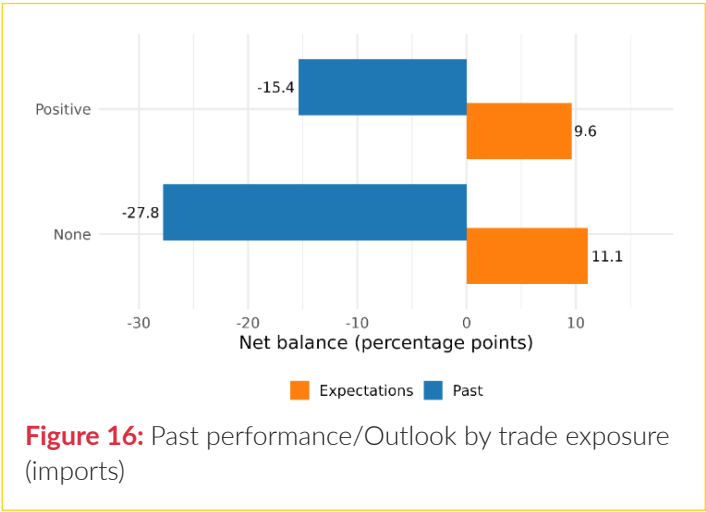
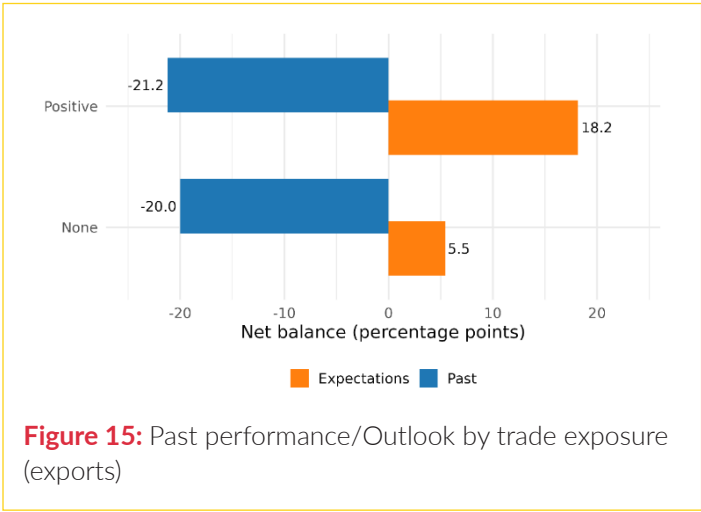
At the time of the survey, the average effective U.S. tariff rate stood just under 18%, up sharply from roughly 2% in January 2025. Tariffs were particularly high on imports from certain countries – such as 40% on Chinese goods – and on key commodities including steel and aluminum (about 40%) and automobiles (25%). Several trading partners imposed retaliatory tariffs in response. This section examines how these developments affected Maryland businesses.

Respondents were asked whether recent tariff increases have impacted their business and, if so, whether the impact was positive or negative (see Fig. 11). **More than half** reported a **negative impact**, while only about **5%** said the impact had been **positive**. The most frequently cited reasons for negative effects were **increased costs of imported inputs** and **reduced supply chain reliability** (Fig. 13). Among the few who reported positive effects, the main reason was **reduced foreign competition** (Fig. 12). Roughly one-quarter of respondents also reported being affected by **retaliatory tariffs** (Fig. 14).



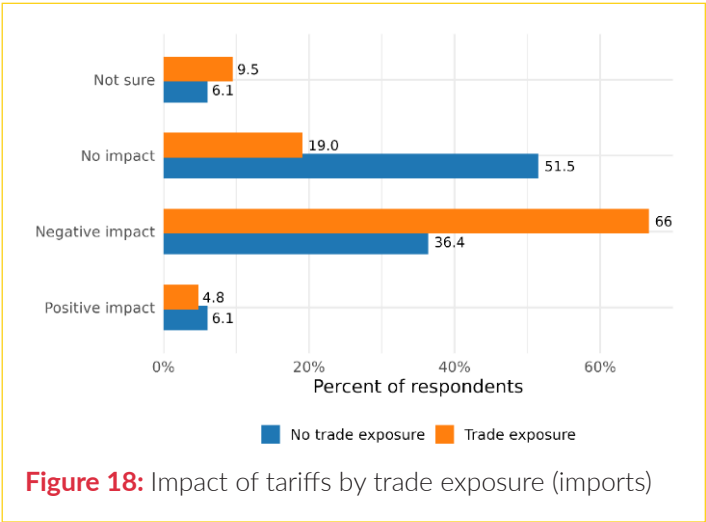
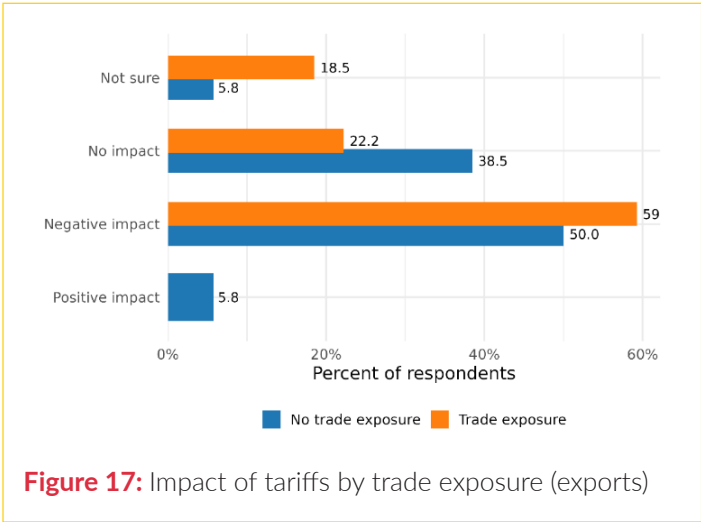
To assess whether tariffs influenced business performance and outlook, we compared **net balances** for firms exposed to trade through either exports or imports. Trade exposure via exports was defined as any positive share of revenues from international sources; import exposure was defined as any positive share of imported inputs.

For **exporting firms**, the net balance for past performance was **negative**, though not substantially worse than that of non-exporters, while their **six-month outlook** was much more optimistic (**+18.2% vs. +5.5%** for non-exporters). For **importing firms**, past performance was also negative but somewhat **better** than for firms with no imports, and future outlooks were broadly similar. Overall, trade-exposed firms do **not appear to be systematically worse off** than those without trade exposure (Figs. 15–16).



“CBP slowdowns are impacting our imports and exports.”

As would be expected, examining the **direct impact of tariffs by trade exposure** (Figs. 17–18) shows that both exporting and importing firms were **far more likely to report negative effects** from tariff increases than firms without trade exposure, which more often selected “no impact.”



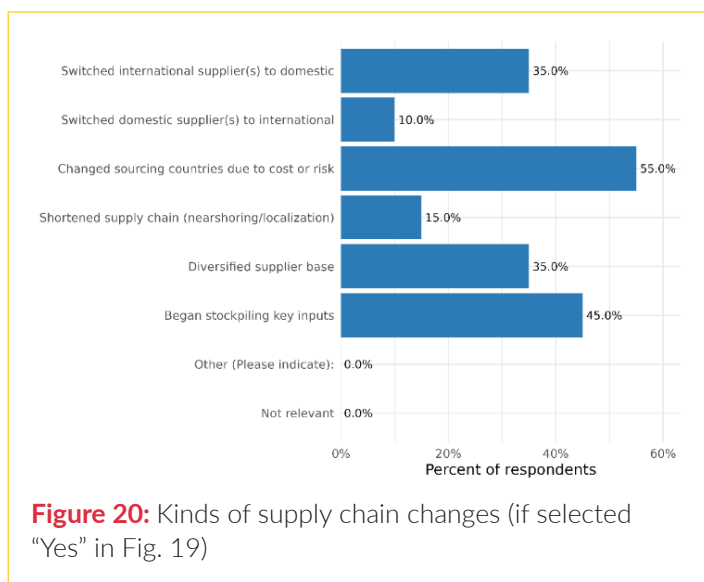
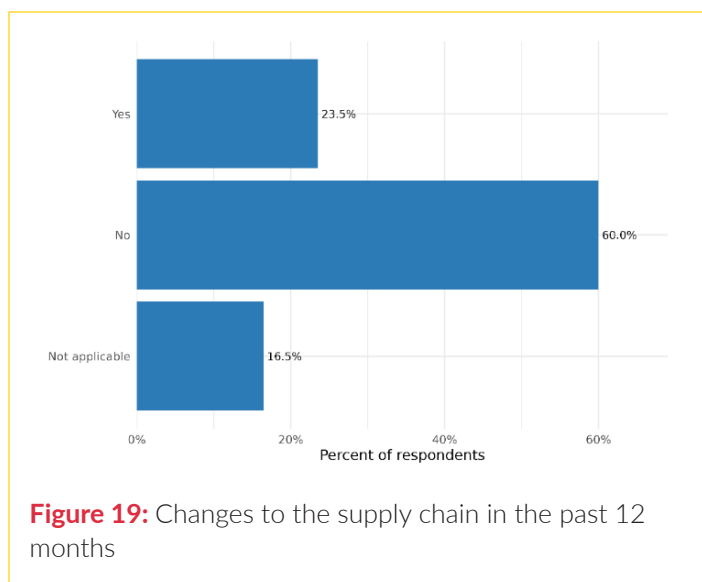
Disrupted Supply Chains

The survey also explored the extent to which supply chains have been reshaped by recent trade disruptions. Respondents were asked: “In the past 12 months, has your company made changes to its supply chain?” Those who answered yes were then asked to describe the types of changes made (Figs. 19–20).

About 25% of firms reported having **made supply-chain changes** in the past year. The most common actions included:

- **Changing sourcing countries** due to cost or risk considerations (55%)
- **Stockpiling key inputs** (45%)
- **Shifting from international to domestic suppliers** (35%)
- **Diversifying the supplier base** (35%)

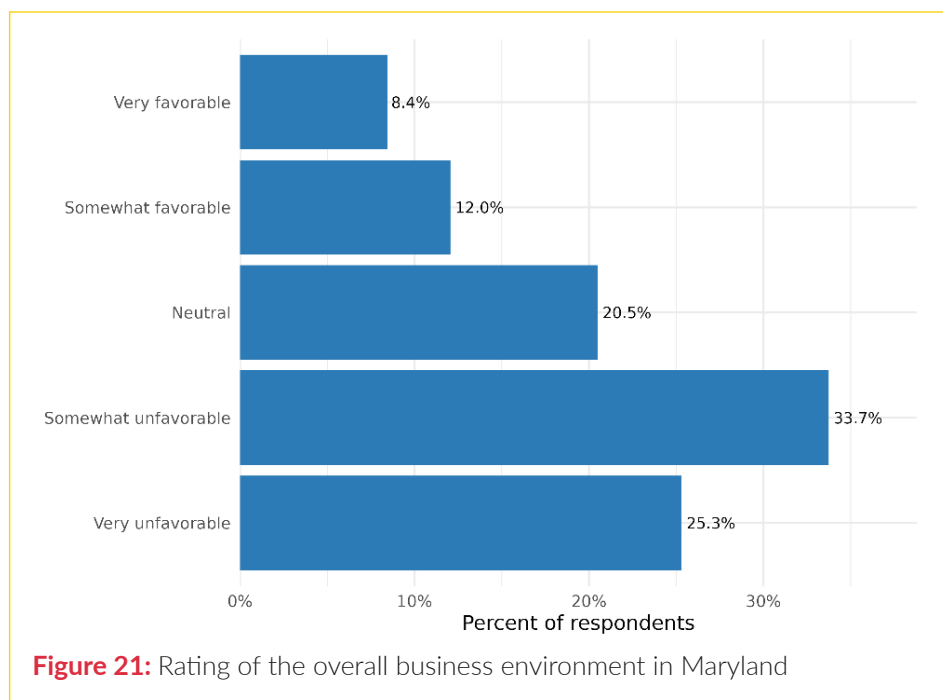
Looking ahead, **22.6%** of respondents indicated that they **plan to modify their supply chains** over the next 12 months – suggesting continued adjustment to evolving trade conditions and tariff uncertainty.



“We anticipated the rise in costs and invested heavily in discounted equipment that we repaired in house.”

The Maryland Business Environment

In the final section of the survey, respondents were asked to assess the overall business environment in Maryland. When asked, “From your business’s perspective, how would you rate the overall business environment in Maryland?” nearly **59%** rated it as **somewhat or very unfavorable** (see Fig. 21).



To better understand these views, respondents were asked to identify what they see as the **main challenges and advantages** of doing business in the state. The most frequently cited challenge – selected by **70.4%** of respondents – was the **tax structure** (Fig. 22). Other major concerns included **high operating costs** (56.8%) and the **high cost of housing for employees** (39.5%).

On the positive side, respondents highlighted several key strengths of Maryland’s business environment. The top advantages were **availability of skilled talent** (30%), **proximity to federal agencies** (28.8%), and **access to local and regional customers** (25%) (Fig. 23). Notably, **26.2%** of respondents indicated that **no Maryland-specific factors** had contributed to their success, underscoring the mixed perceptions of the state’s overall competitiveness.

“Maryland is not a business-friendly state. We are at the point we can no longer afford the taxes that continue to go up and up.”

“Cost of operating and regulatory issues are not as strict in surrounding states.”

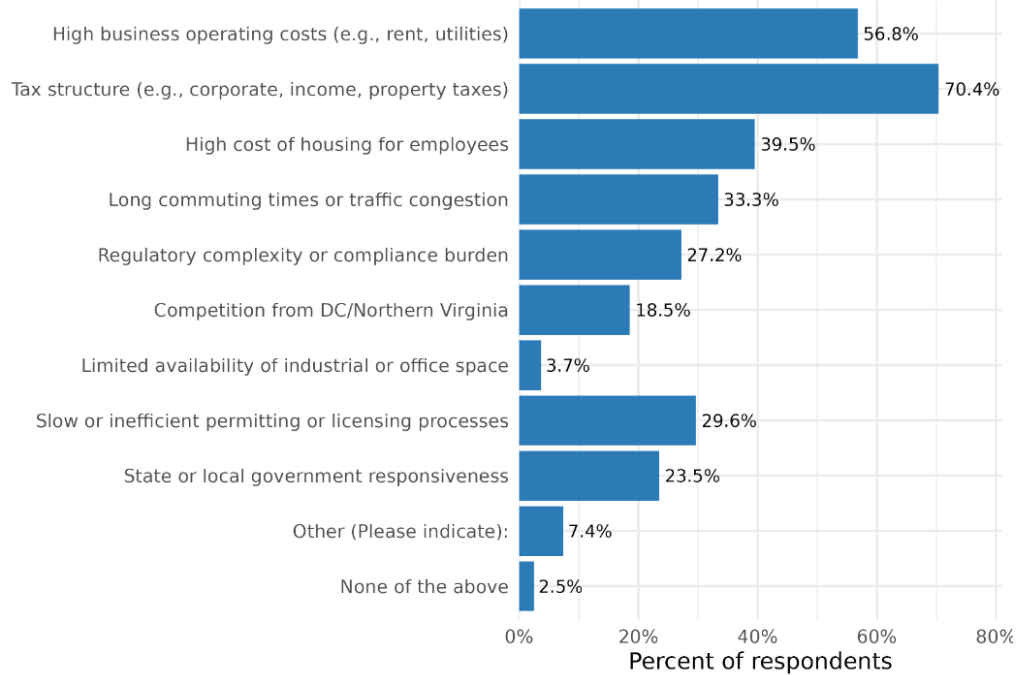


Figure 22: Challenges or disadvantages of operating a business in Maryland

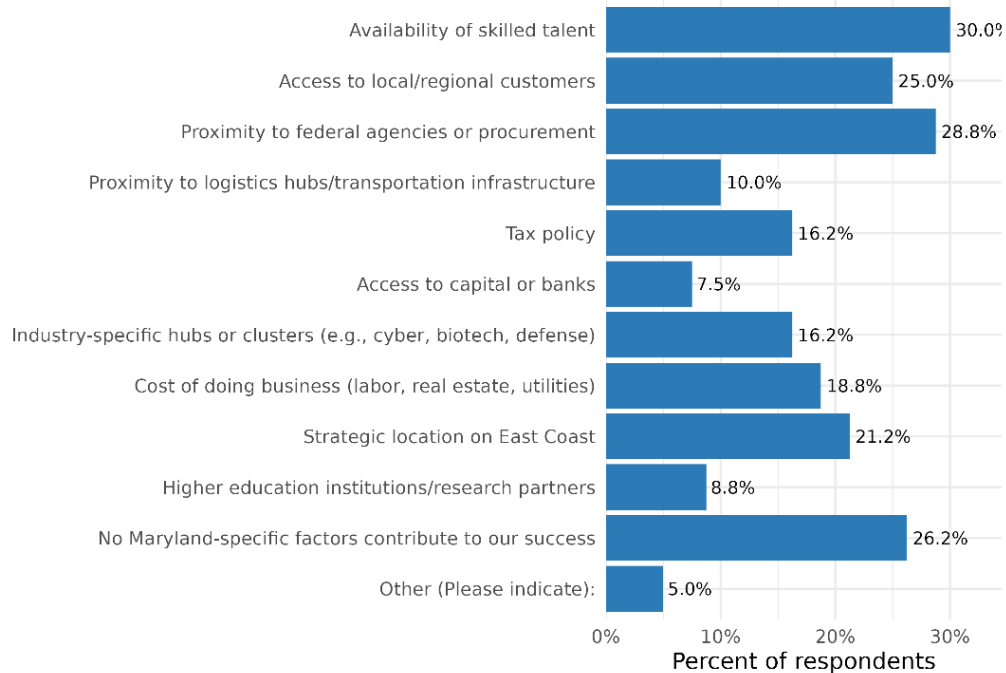
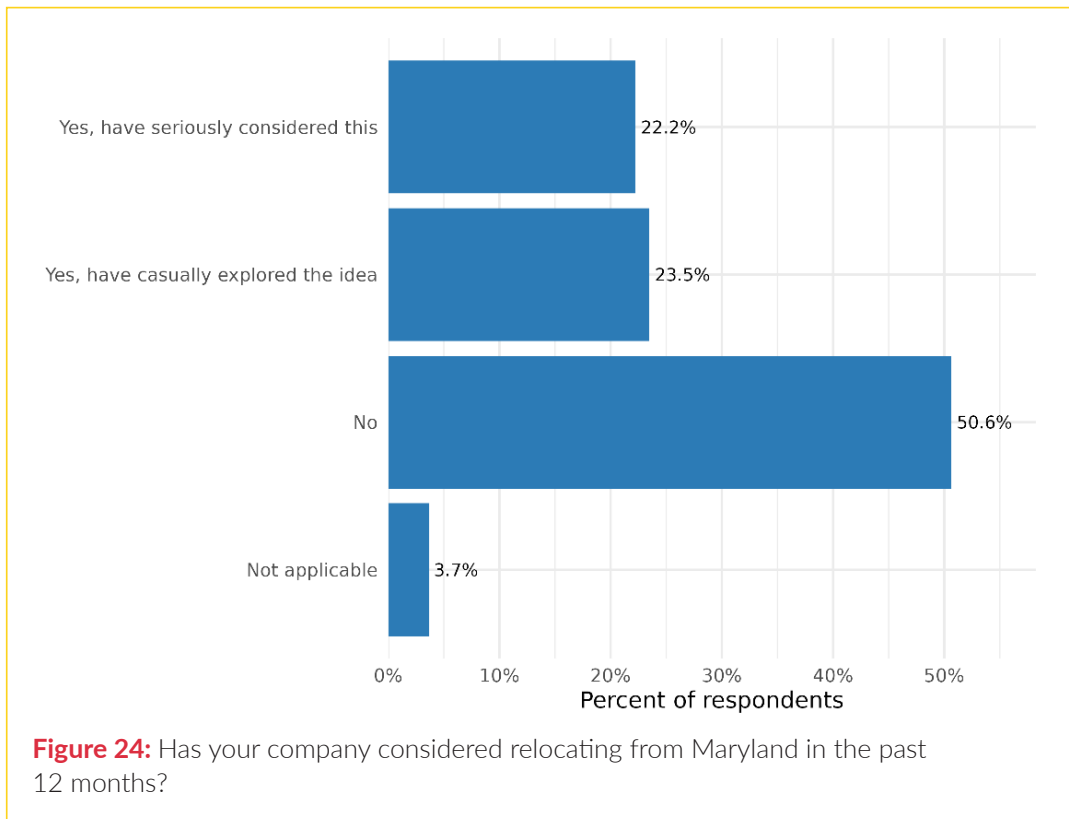


Figure 23: Maryland-specific factors contributing to success

“1. State and local tax policies are burdensome. 2. Due to high crime, high taxes/cost of living, lack of public services and poor infrastructure, it is extremely difficult to recruit talent to the area.”

As a further measure of sentiment, businesses were asked whether they had **considered relocating to another state** in the past 12 months. About **half** of respondents said they had—roughly evenly divided between those who had **seriously considered** moving and those who had **only casually explored** the idea (Fig. 24). To gauge whether relocation interest reflected concrete risk, respondents were also asked whether they had been **approached or recruited by other states** to relocate; **28%** reported that they had (Appendix Fig. A8).



“3% Technology Tax. It makes it difficult to compete with competition in VA, DE and PA that do not have such a burden.”

“State Regulatory practices – Electrification movement.”

“Higher costs and very complicated and time-consuming paperwork to fill out to get state jobs. Most of the time we don’t even bid on state jobs because of the demands that are required.”

Variation in Sentiment Across Business Groups

To explore how sentiment toward Maryland's business environment varies across different groups, we examined two key dimensions: **ownership characteristics** and **industry type**.

Ownership

Sentiment differs noticeably by ownership structure. Minority-owned businesses view the state **more favorably overall**, recording the **highest shares** in the “*very favorable*” and “*somewhat favorable*” categories, and the **lowest shares** in the “*very unfavorable*” and “*somewhat unfavorable*” categories. In contrast, women-owned businesses and other firms are **similar** when favorable and unfavorable categories are aggregated, but women-owned firms are more **polarized** – appearing more frequently at both extremes (“*very favorable*” and “*very unfavorable*”).

This divergence extends to relocation intentions. A very small proportion of minority-owned businesses reported seriously considering relocation, while a clear majority (**63.6%**) said they had **not considered it at all**. These findings suggest that the state's business climate may be **relatively more supportive of minority-owned firms**, an observation that merits further investigation.

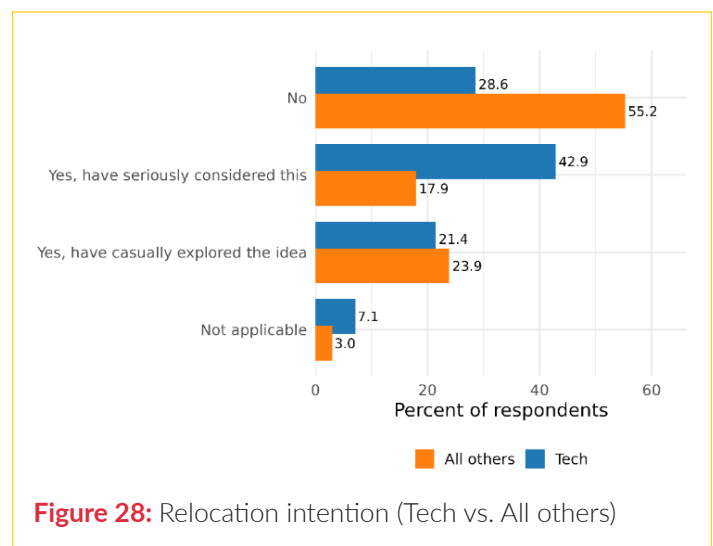
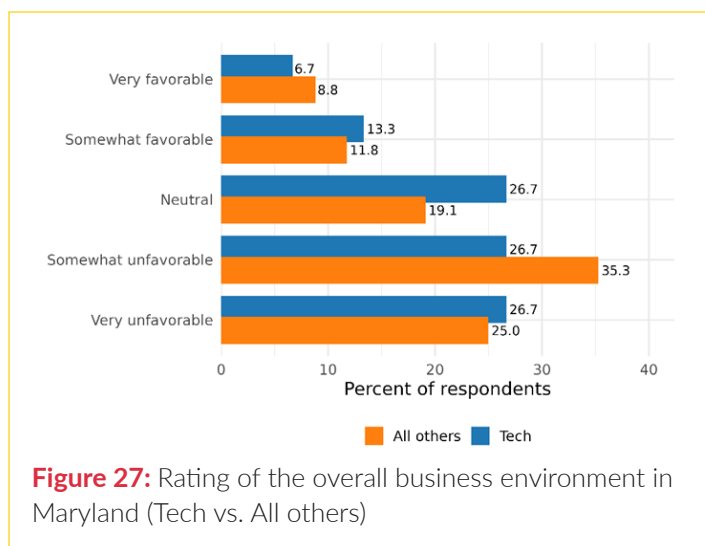
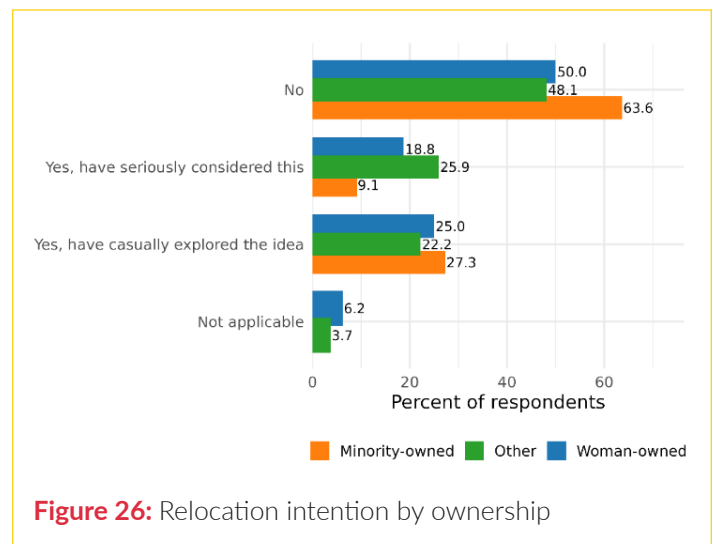
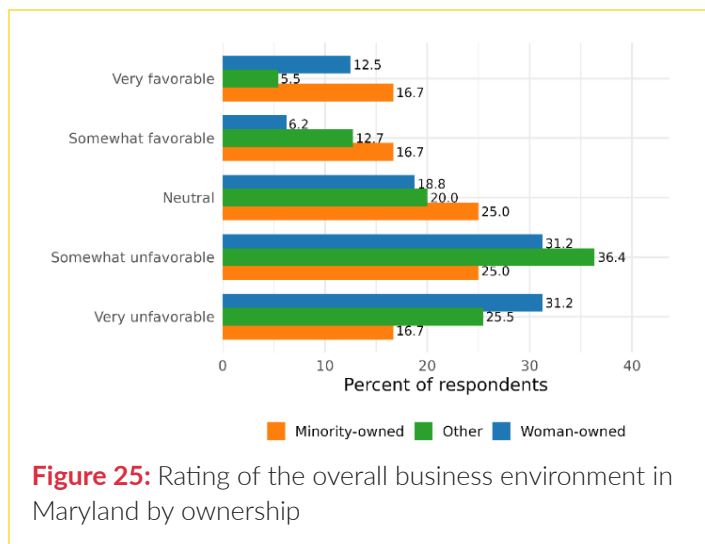


Industry Type: Technology Firms

We next compared **technology-oriented firms** – defined by aggregating those who chose their sector to be one of *Information Technology, Software Development, Cybersecurity, or Technology, Analytics, Artificial Intelligence*. While non-tech firms were **slightly more likely** to rate Maryland's business environment as unfavorable, **tech firms expressed markedly stronger relocation intentions**.

Among tech respondents, **43%** reported *seriously considering* relocation, and another **21.4%** had *casually considered* it. The corresponding figures for all other firms were **17.9%** and **23.9%**, respectively.

Text responses indicate that Maryland's **3% “technology tax”** was a recurring concern. It is likely that this policy is contributing to the **elevated relocation interest** among technology companies.



Limitations

The findings in this report are based on responses from approximately 90 Maryland businesses. While the sample provides a valuable cross-section of firms by size, sector, ownership type, and levels of federal and international exposure, it may not be statistically representative of all Maryland businesses. First, we did not have a list of addresses of all Maryland businesses that we could sample from (see the details of our methodology in Appendix 1). Furthermore, because the survey's title emphasized federal policy changes, participation may have been higher among firms that experienced negative effects from those changes. Strong feelings about recent policy changes, such as the new *Sales and Use Tax on Data or Information Technology Services and Software Publishing Services*, could also be affecting participation and responses.

The results should therefore be interpreted as indicative of **key themes and sentiment patterns** rather than as precise population estimates. The strength of the study lies in its detail and consistency: across multiple questions, the patterns of response are coherent and reinforce one another, lending confidence to the robustness of the main findings.



APPENDIX 1¹

Data Collection

This study integrates multiple sources of business addresses. We began with the Small Business Administration's Paycheck Protection Program (PPP) database, identifying 18,976 Maryland firms that had received federal support during the pandemic. These records included firm identity, industry classification, employment size, ownership structure, and loan details. To complement this, we drew on USAspending.gov, which documents federal contract awards. This allowed us to capture an additional set of Maryland businesses with contracting relationships between 2020 and 2025, ultimately identifying more than one thousand unique firms engaged in federal procurement. Recognizing the limitations of administrative records, we implemented a systematic web-scraping protocol to verify business viability and collect up-to-date contact information.

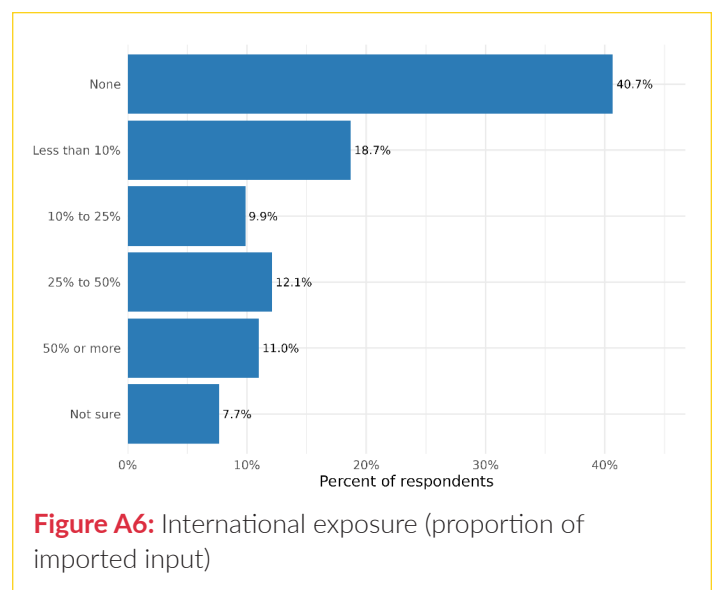
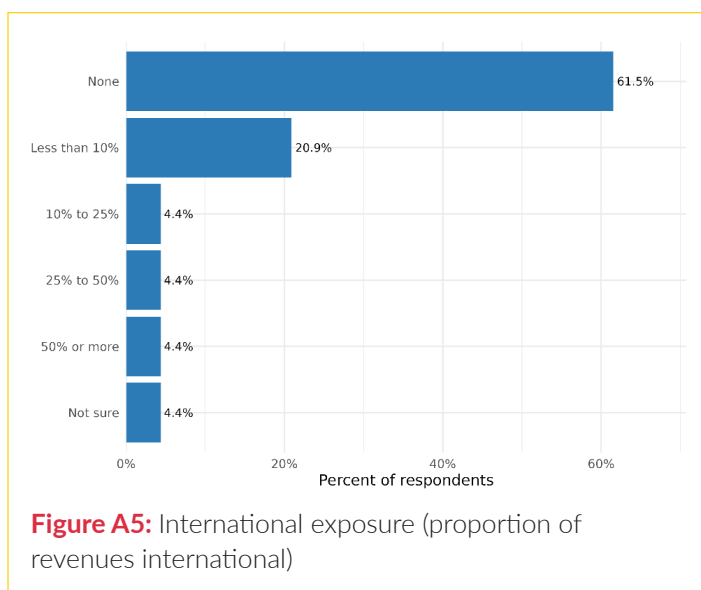
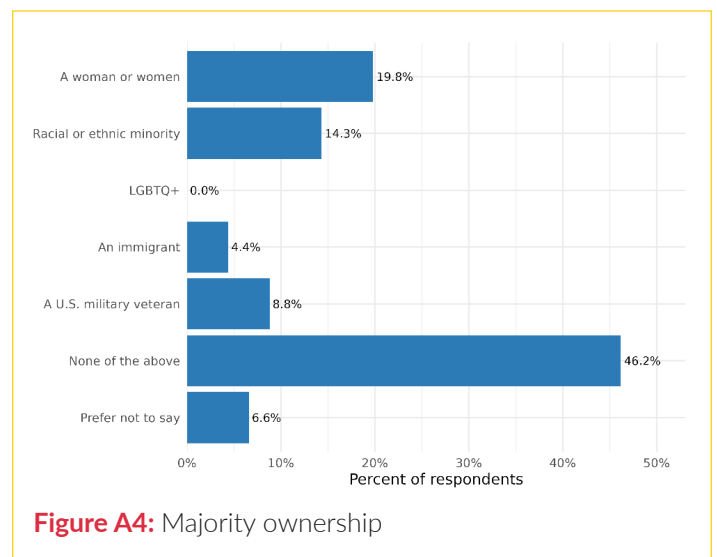
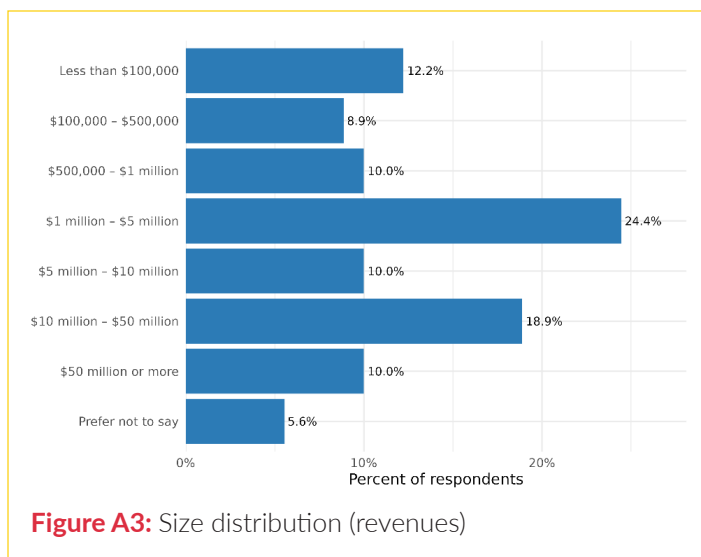
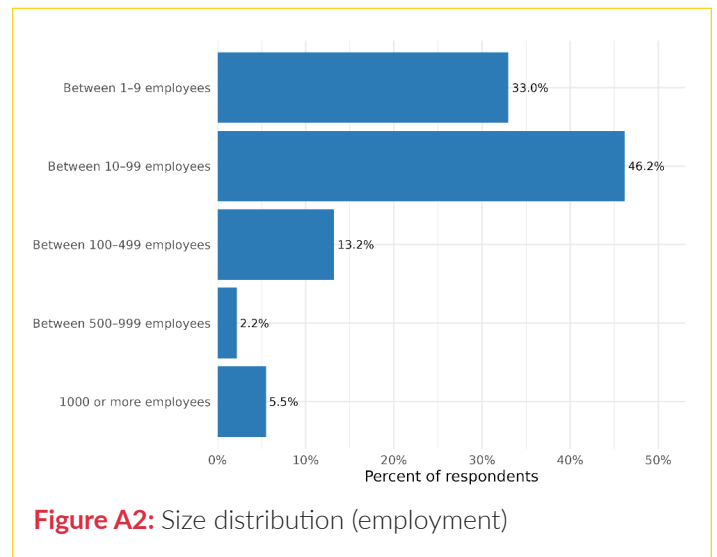
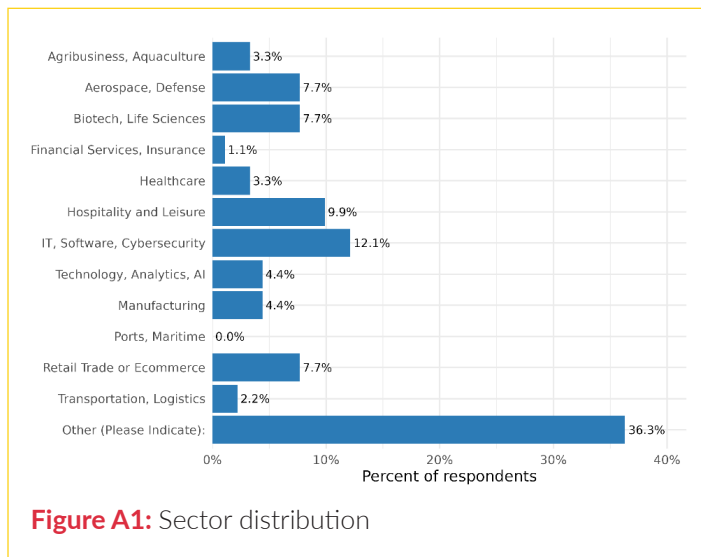
Business Identification and Verification Process

The business identification and verification proceeded in a double scraping and verification phases. We first constructed the PPP-based database, cleaning records to remove duplicates and incomplete entries. We then applied web verification, using the *BeautifulSoup* Python package to check for contact information, recent activity markers (within the last 5 years), and website functionality. A business was retained if its webpage explicitly mentioned a phone number and/or an email address, as well as the recency indicator. Regex-based parsing was used to detect valid phone/email patterns in the HTML content. This filtering and deduplication reduced the sample to 2,491 verified businesses. To strengthen coverage, we then integrated USAspending.gov data, adding 1,099 active contractors who were not present in the PPP pool (these were selected based on the recipients of grants from General Services Administration or the Department of Commerce). After a second verification and deduplication of the newly added businesses, the merged dataset consisted of 3,478 Maryland businesses.

After multiple rounds of data cleaning, we sent US mail solicitation to 1319 addresses, and emails to around 2600 addresses. The email list included firms in the US mail list. People were encouraged to forward emails.

¹ Authored by Vladimir Martirosyan, who compiled the contact addresses of businesses.

APPENDIX 2



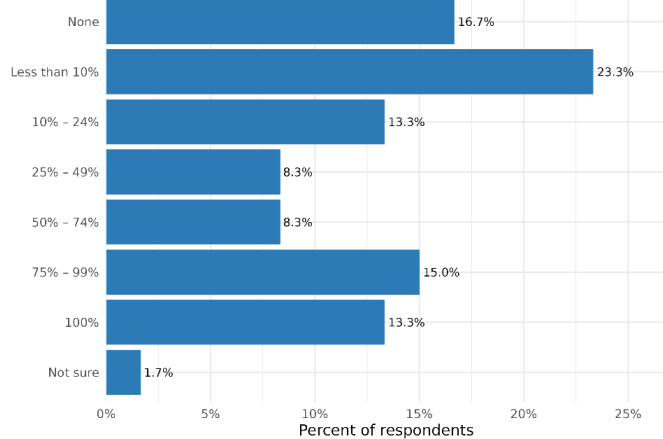


Figure A7: Federal Exposure: Proportion of revenues from federal contracts

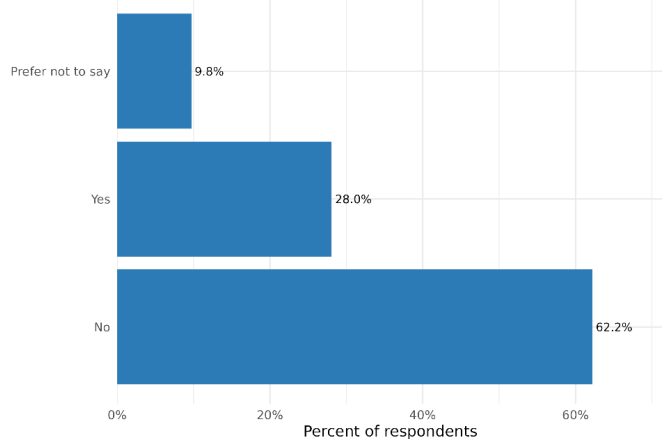


Figure A8: If company has been approached or recruited by other states to relocate.





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SCHOOL OF BUSINESS



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